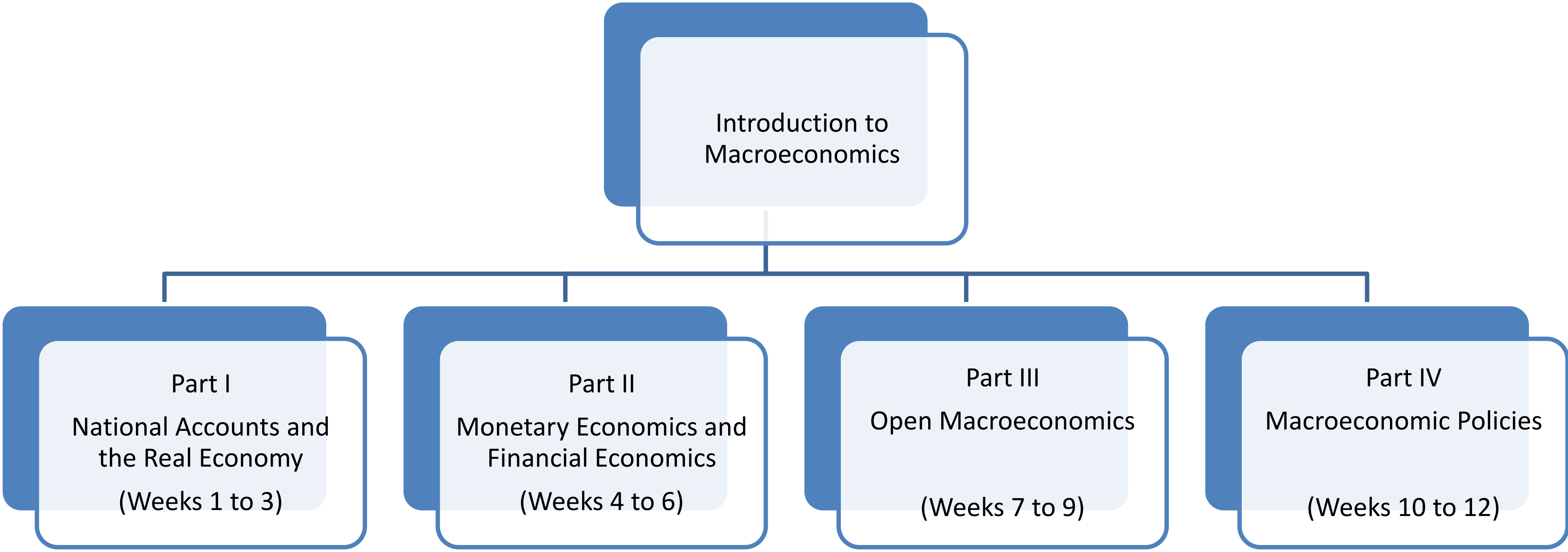
Introduction to Macroeconomics (S102016CR)

Spring Semester

https://moodle.unige.ch/course/view.php?id=6618

Marcelo Olarreaga, Office M5270


Introduction to Macroeconomics
Part I
National Accounts and the Real Economy
(Weeks 1 to 3)
Part II
Monetary Economics and Financial Economics
(Weeks 4 to 6)
Part III
Open Macroeconomics
(Weeks 7 to 9)
Part IV
Macroeconomic Policies
(Weeks 10 to 12)

Textbook

- G. Mankiw and M. Taylor, ***Economics***, 2020, Cengage Learning
- P. Krugman and R. Wells, **Macroeconomics**, 2018, McMillan Learning

Before you watch the videos (Tuesdays) and join the in-person class (Fridays), it is recommended that you read the chapter of the Mankiw and Taylor or Krugman and Wells, and look at the corresponding PowerPoint presentation, available on Moodle.

- Power points and videos are already all available on Moodle.

Class

- **Venue :** Tuesday 10h15-12h00 (online videos on Moodle or Q&A session in room MR070)
  Friday 12h15-14h00, (MS150, alternates with seminar)
  Friday class goes deeper into the material covered in the online videos of the previous two weeks.
- **Office hours :** By appointment marcelo.olarreaga@unige.ch

Seminar

- **TAs:** Ingrid Kolgjegja
- **Venue:** Friday 12h15-14h00 (MS150, alternates with in-person class):
  6 March, 20 March, 17 April, 15 May, 22 May
- **Office hours:** By appointment: ingrid.kolgjegja@etu.unige.ch

This first week is special

- On Tuesday, February 17, the class takes place from 10:15 to 12:00 in room MR070 (this Introduction, Week 0).
- Friday, February 20, **there is no class.** Students are expected to watch the online videos for week 1 (on Moodle).

From the second week

- On Tuesdays there will be Q&A sessions in room MR070 on material provided in the online videos for that week (see syllabus on Moodle). No new material will be provided there.
- Every Friday from 12:15 to 14:00, there will be either an in-person class or a seminar
- During in-person classes on Fridays, we do deep dives into the topics covered in the previous weeks. During seminars, Utsoree will correct problem sets

The last Tuesday, May 19, there is a Q&A session in room MR070

Problem sets

• Available on Moodle before each seminar session, and they are corrected in class. A light correction will be made available on Moodle after the seminar.

• They are a crucial complement to the material seen in class.

•**Very important for preparing the exam!**

Exam

- Final compulsory 2-hour multiple-choice closed-book exam
- 30 questions with four possible answers. Only one is correct. No negative points.
- No material is allowed except for a two-sided A4 page of handwritten and personal notes and a non-programmable calculator.
- Phones or exits are not allowed during the exam.
- Examples of previous exams are available on Moodle.
- Corrections of previous exams will be made available later.
- A mock exam with a few questions will take place on Moodle during the Easter break and then the week before the exams.
- French classes and seminars? Perfect substitutes. Same exam.

Questions?

Week 0:
Introduction

We are leaving Microeconomics that focuses on the analysis of decision-making by economic agents (consumers, producers, firms, government, etc…)

And we are entering Macroeconomics which focuses on the economy as a whole and the relationship between the large macroeconomic aggregates such as growth, inflation, unemployment, government, and trade deficits….

Reassuringly, macroeconomists use the same tools as microeconomists: supply and demand are going to be at the heart of the analysis as before.

But this time, we will not be talking about Paul’s demand for ice-cream but of aggregate demand and supply functions….

We will distinguish between the big demand aggregates such as investment, consumption, government spending, etc, but we will not be looking into individual items or individual’s aggregate demand….

Warning: Macroeconomics is not about simply aggregating microeconomic behaviors, but about understanding their general equilibrium consequences. See for example, the paradox of thrift or, more generally, the fallacy of composition

An analogy by the American journalist Alex Berenson suggests that getting macroeconomics right may be tougher than getting microeconomics right:

The difference between microeconomics and macroeconomics is a bit like the difference between biology and medicine. Knowing that certain genes increase the risk of cancer is relatively easy. Figuring out exactly which people will get sick, or how to cure them, is a lot more complicated

It is also more fun….

Chapter Content

a) What's Macroeconomics?

b) The Great Lockdown: a macroeconomic perspective

c) Summary

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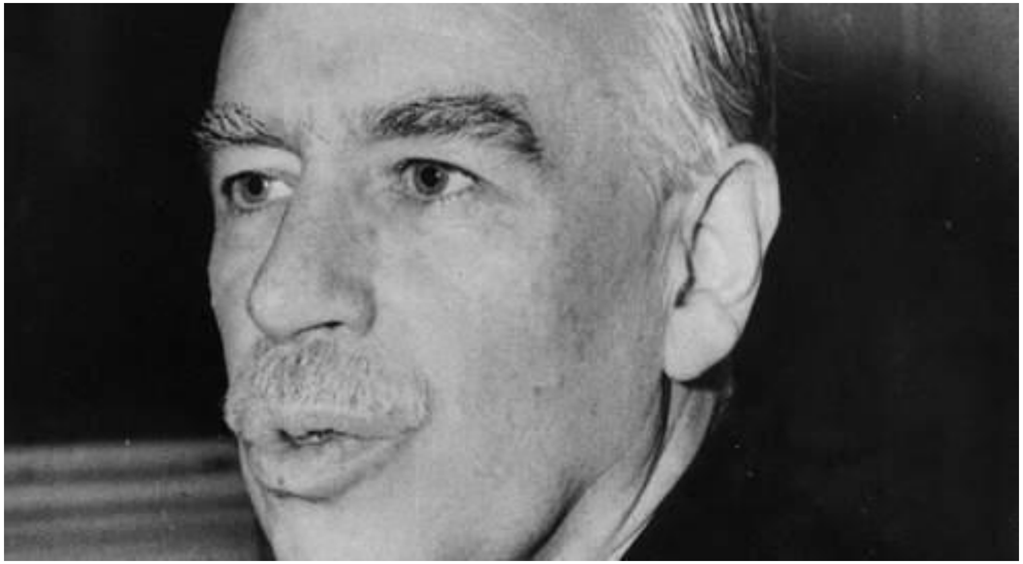
a. What's macroeconomics?

• Born in the 1930s.
• Before that, the economic classic model did not allow for market failures and therefore no need for macroeconomics. The best thing the government (and economists) could do was to stay away…
• John Maynard Keynes (1936) *The General Theory of employment, interest and money* is viewed as the starting point.
• His inspiration? The great depression in the 1930s and the ginormous evidence of market (and government) failures



• During the Great Recession he re-became very popular for obvious reasons
"John Maynard Keynes, l'homme de l'année 2009"
(Figaro 1/2/09)

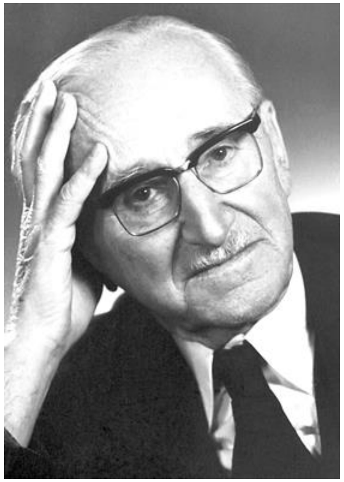
Two big schools of thought, two types of fish

Saltwater economists (Harvard, MIT, Stanford, and Berkeley) versus Freshwater economists (Chicago, Rochester, Minnesota)

- Keynesians are saltwater economists. They think the government has a vital role in stabilizing the economy.
- Classical economists are freshwater economists. They are skeptical of the government's ability to actively stabilize the economy through discretionary public spending or monetary policies. Several sub-schools
  - Monetarists argue that monetary interventions are ineffective unless unexpected, which hurts credibility. Advocate for a stable and predictable increase in the money supply to keep the economy growing. Their guru: Milton Friedman (1976 Nobel Prize)
  - Austrian school economists argue that interventions are counterproductive. Exacerbates distortions. Government bail-outs and interventions create moral hazard and prevent healthy market corrections. Their guru Frederick von Hayek (1974 Nobel Prize)

- Keynes and Hayek were colleagues at Cambridge and friends.
- Intellectually at opposite extremes
- Keynes saw an important role for the government when the economy derails. Corrects for market inefficiencies.
- Hayek saw government intervention and bail outs as incentives to keep the wrong party going. Creates inefficiencies.
- They also had very different personalities…..

Frederick Hayek



Lidya Lopokova and John Maynard Keynes

http://www.dailymotion.com/video/xcym5r_fear-the-boom-bust-rap-hayek-vs-key_music

The neo-classical or neo-Keynesian synthesis

- Divisions are no longer that sharp (but they persist)
- The synthesis adopts a Keynesian framework in the short run and a classical framework in the long-run
- This is the approach we will adopt in this course
- But what is the long run? A week, a month, a year, a decade, a century?
- None of these. Macroeconomists define the long run as the time for prices to fully adjust after a shock.

- Stabilization of the economy is not the only economic role of the government. The government has three main economic roles:
  - Allocation function
  - Distribution function
  - Stabilization function

- The allocation function is explained by the presence of market failures that lead to a sub-optimal allocation of resources. The governments address these market failures by providing some (public) goods and services (defense, transport infrastructure, etc.) or by using competition or regulatory policies.

- The distribution function is explained by a too-unequal distribution of income and wealth that call for government intervention through policies such as minimum wages or redistributive taxation (subsidies and taxes)

- The stabilization function is explained by the cost associated with large swings in the business cycle (leading to unemployment and inflation) that the government addresses using stabilization policies (fiscal and monetary policies)

Examples of macroeconomic questions we will address

- How to measure economic activity?
- What can governments do to prevent economic fluctuations?
- Austerity or stimulus during a crisis?
- Why not keep on printing money and distributing it to citizens?
- Should we worry about government debt?
- Should we worry about trade deficits?
- How important is Central Bank independence from the Executive?

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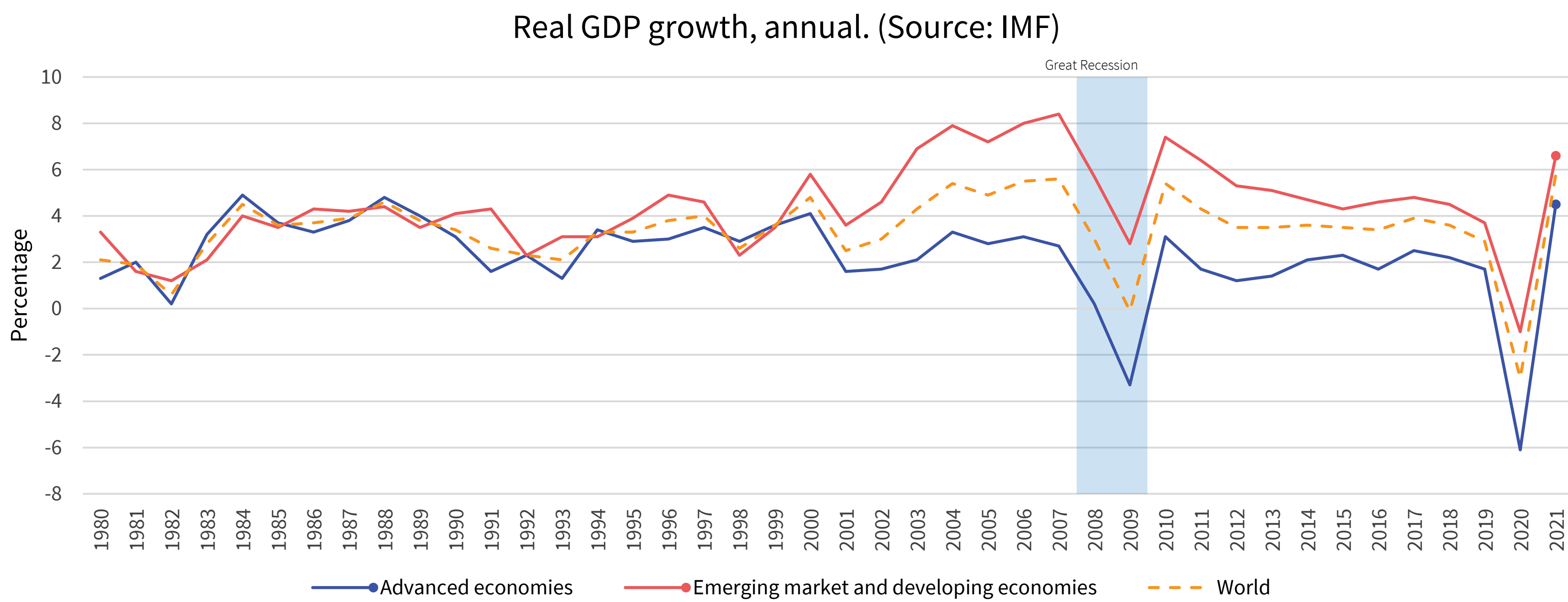
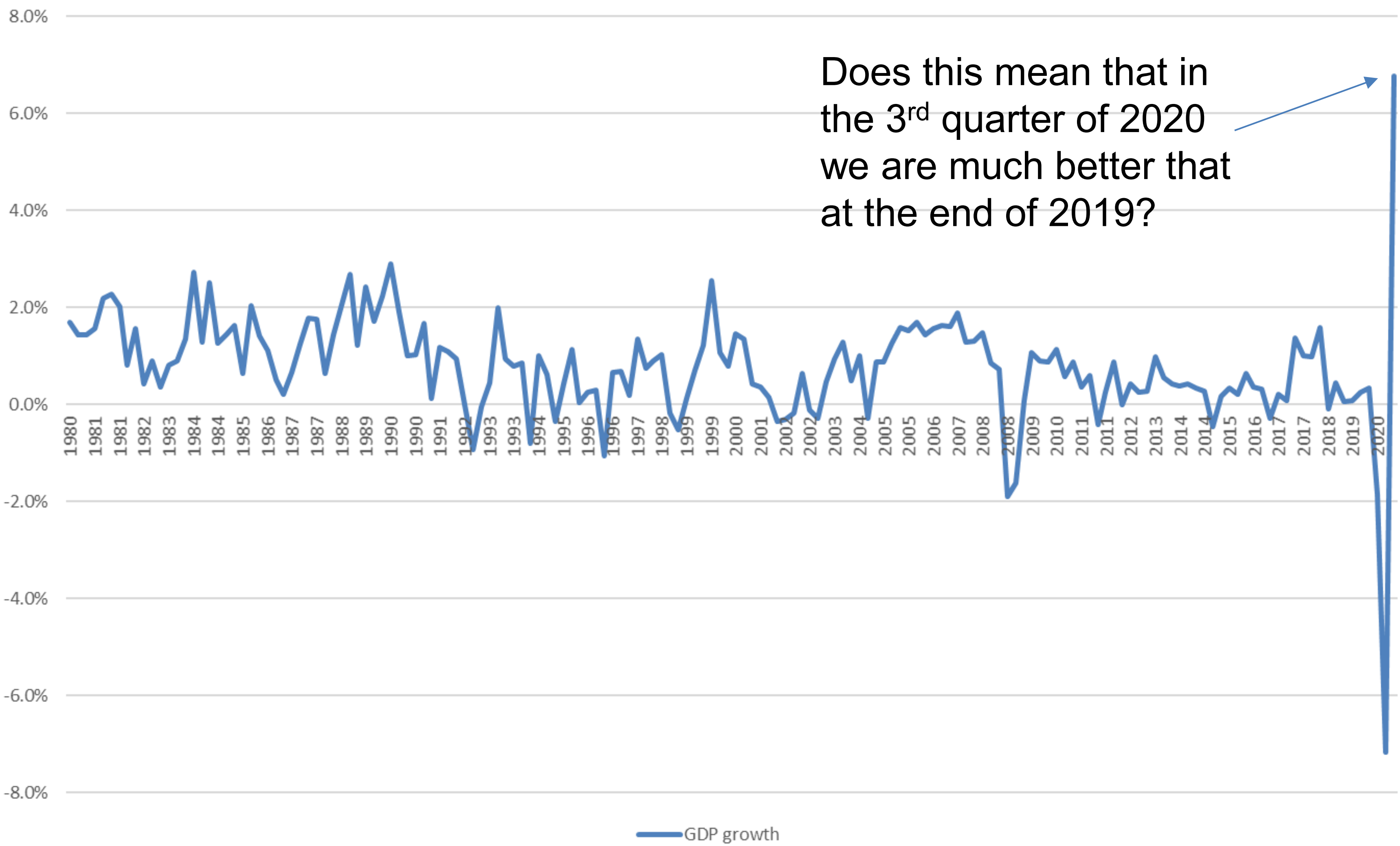
COVID caused the deepest recession in almost a century

The most significant recession in record is the Great Depression 1929-1932 with a 17% in world GDP
The Great Lockdown caused a slowdown that was twice as deep as the slowdown in Advanced Economies during the Great Recession in 2009



Source: IMF

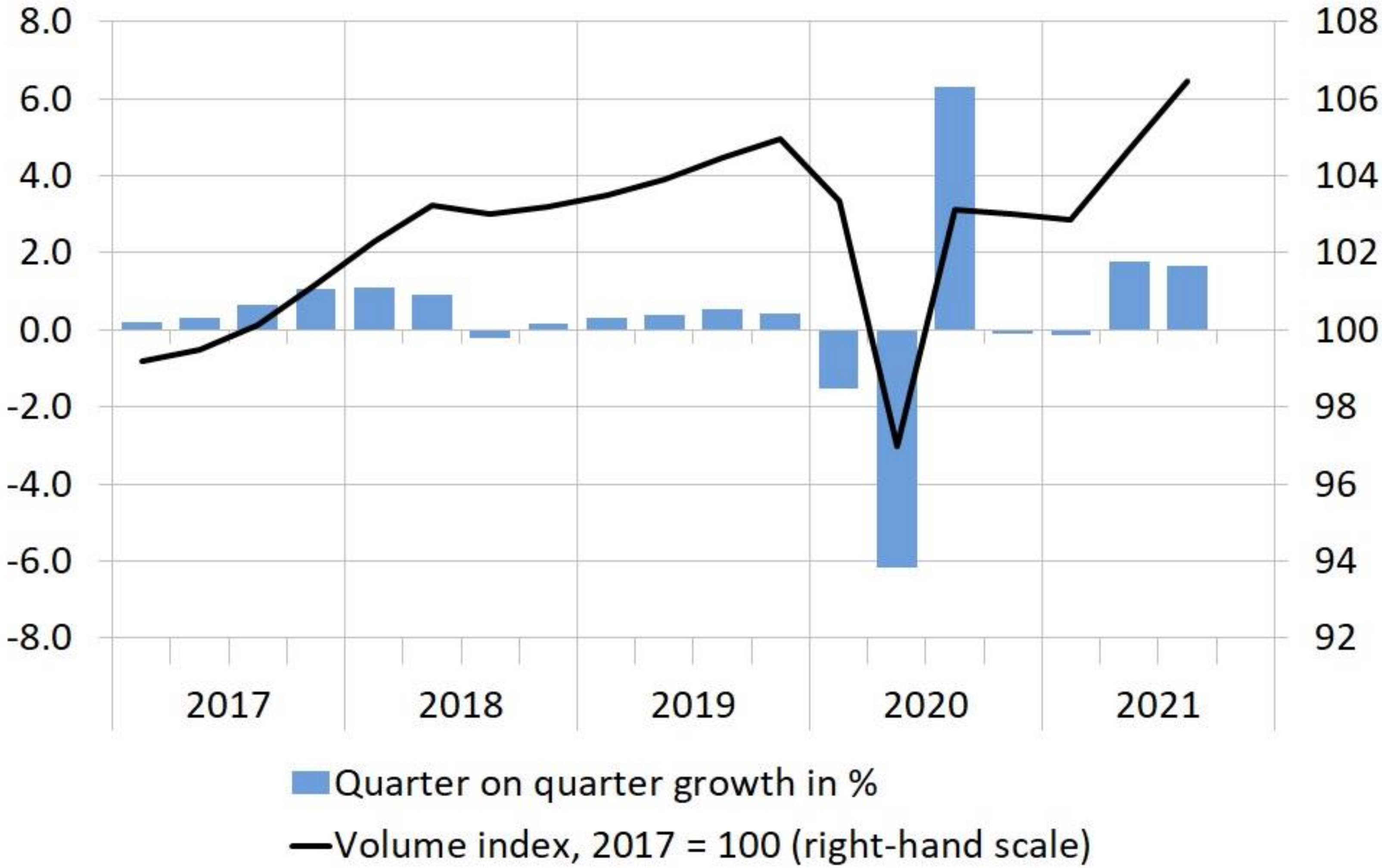
Percentage changes in Switzerland’s quarterly GDP 1980-2021



Does this mean that in the 3rd quarter of 2020 we are much better that at the end of 2019?

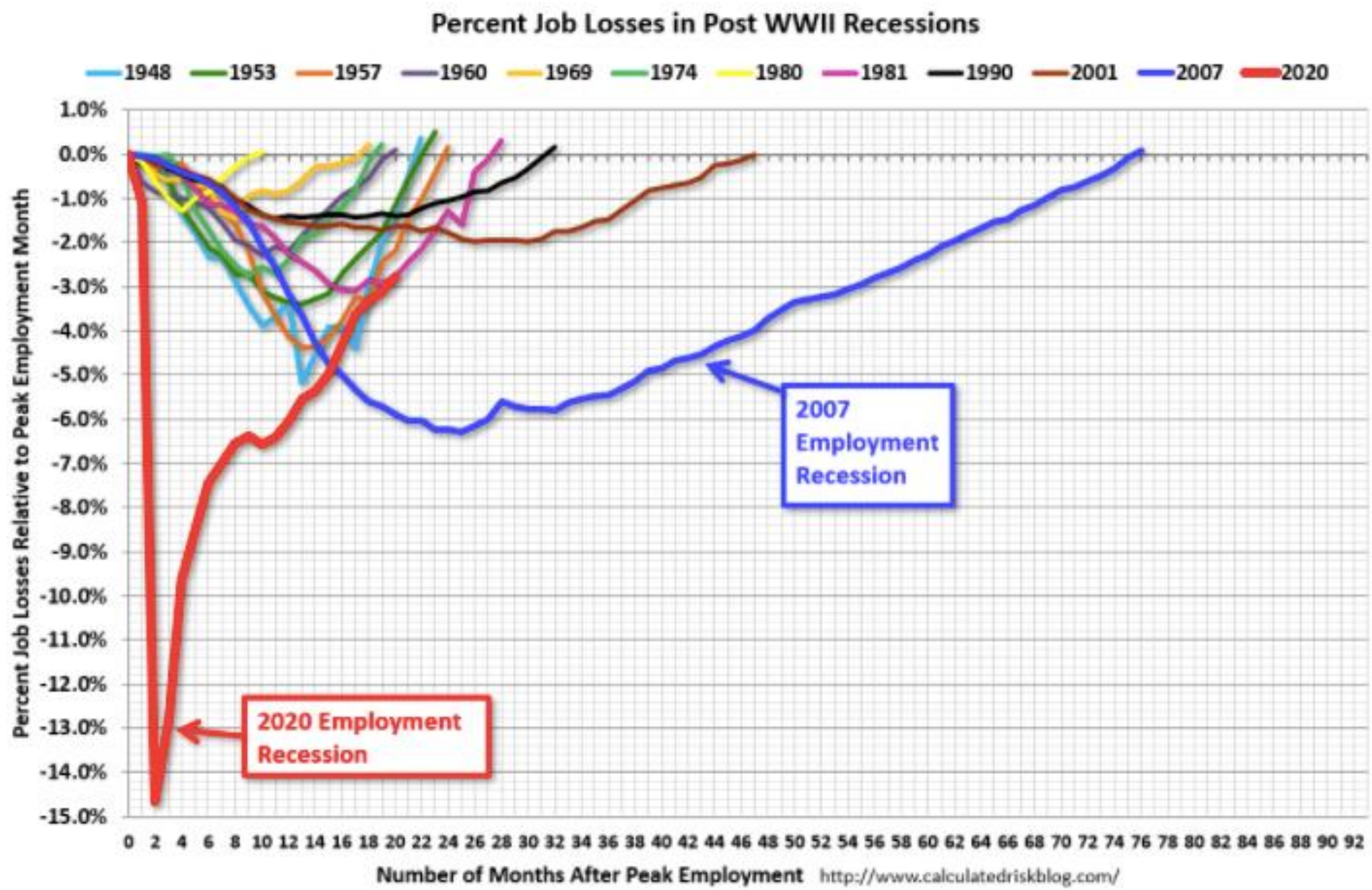
Source: SECO

Not in Q3 of 2020, but yes by Q3 of 2021



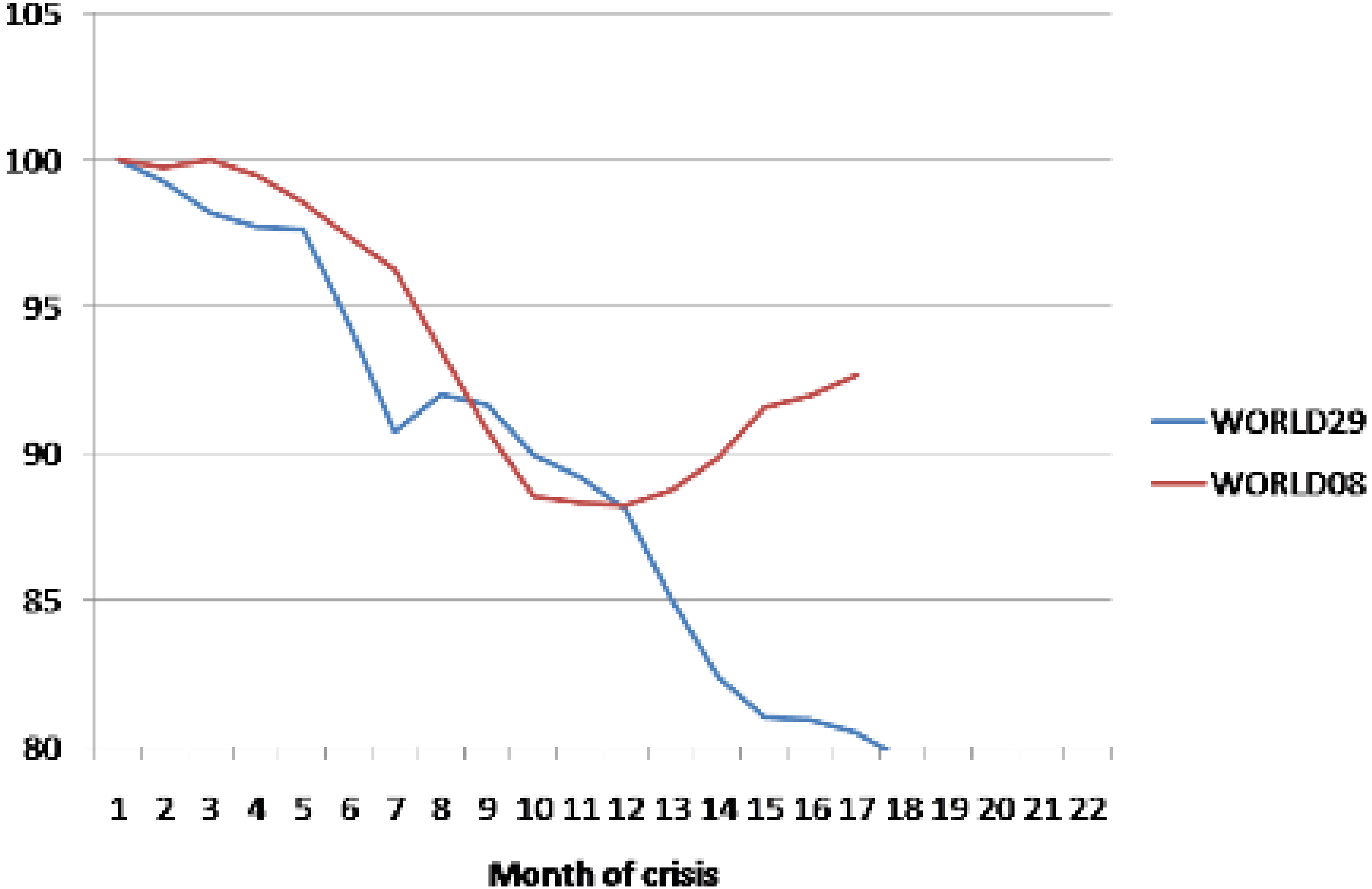
Source: SECO

The sharpest percentage loss in employment since WWII in the US



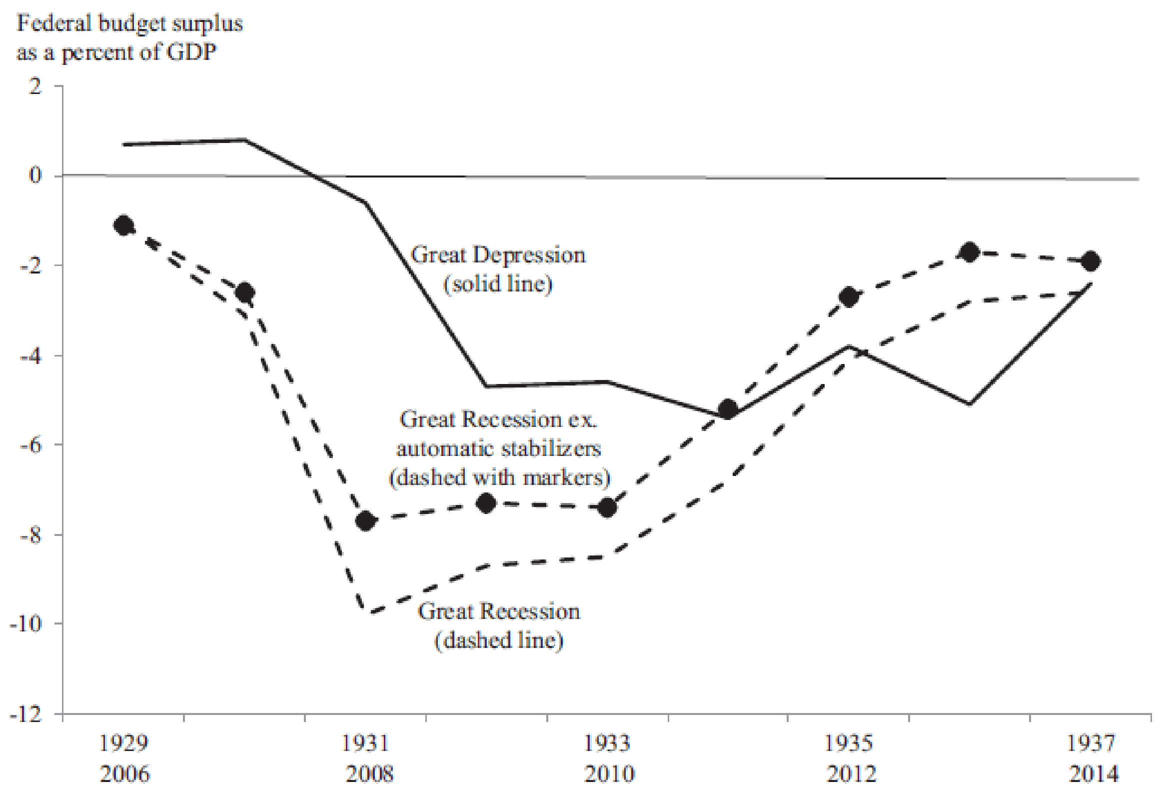
Comparing Great Depression 1929-1932 and Great Recession 2009….recovery was also faster

World industrial production



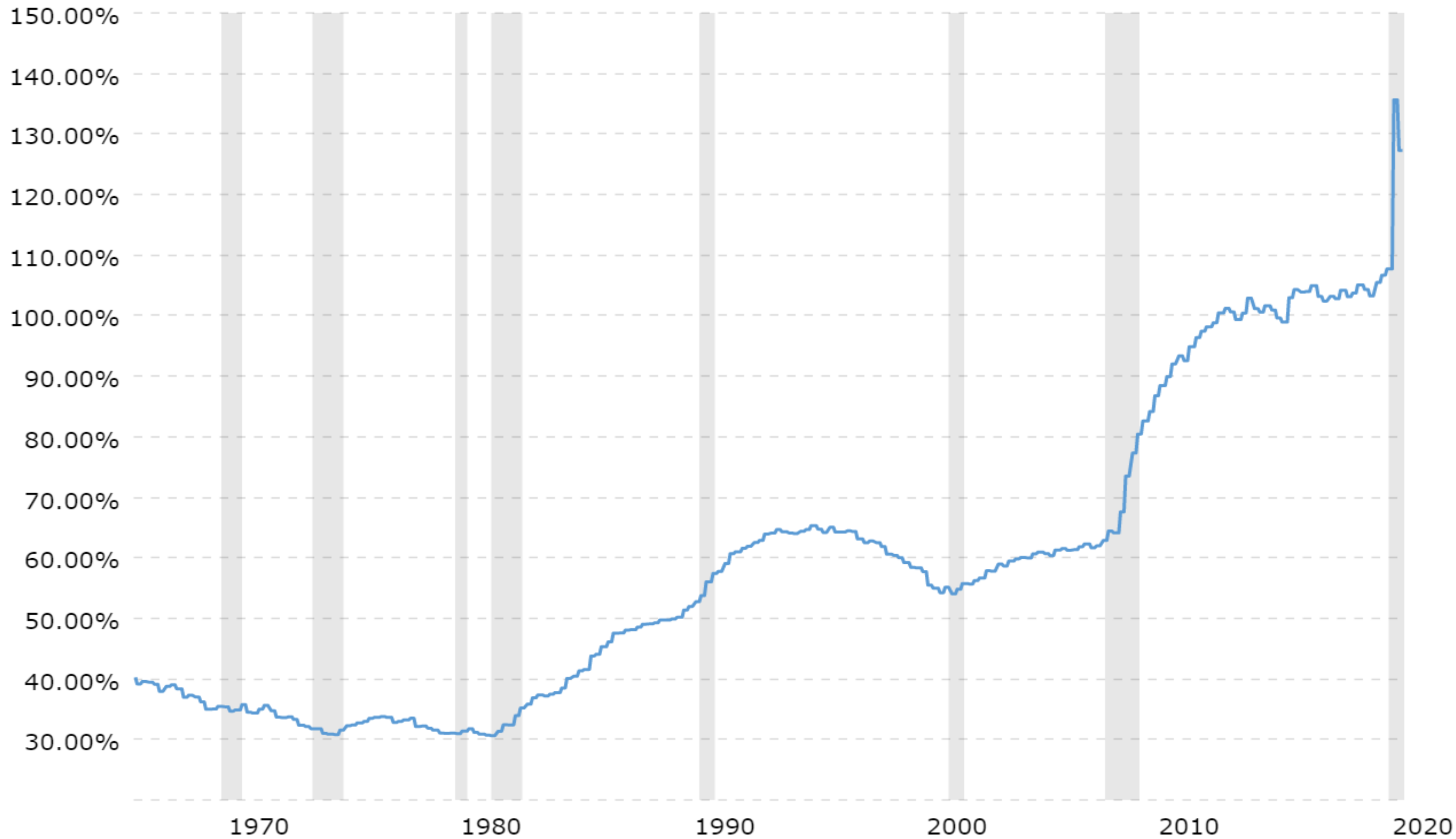
Fiscal policy was more accommodating during the Great Recession (2009) than during the Great Depression (1920-1932)

And it has been even more accommodating during the Great Lockdown (2020-2021) with the US and major EU economies providing stimulus equivalent to 30% of GDP

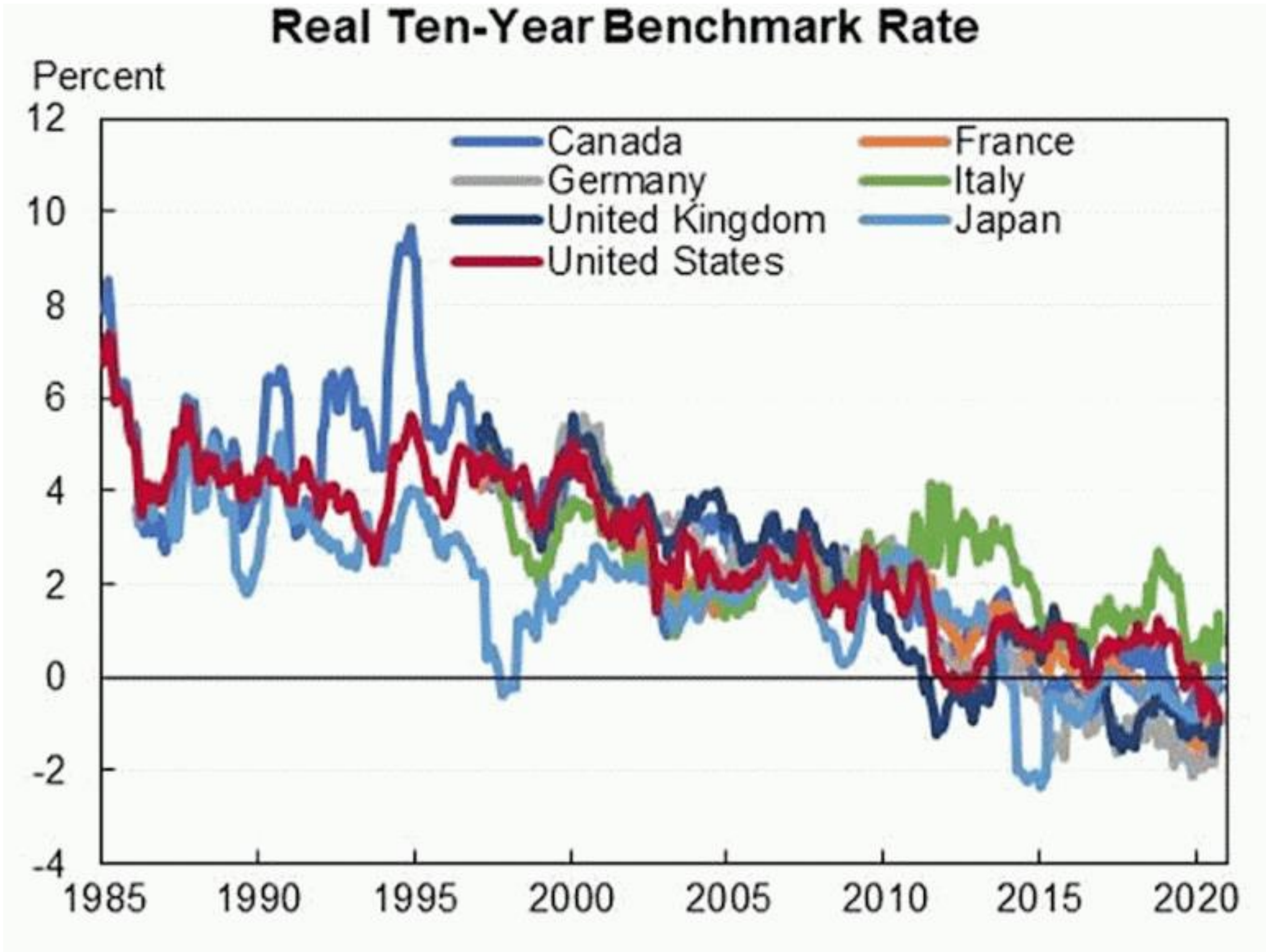


Source: Duca 2017

A consequence of expansionary fiscal policies is the rapid increase in government debt/GDP in most countries. This is the evolution of the US public debt to GDP ratios since 1965



But 50% debt to GDP ratio in 1985 was much more expensive than 130% debt to GDP in 2021……



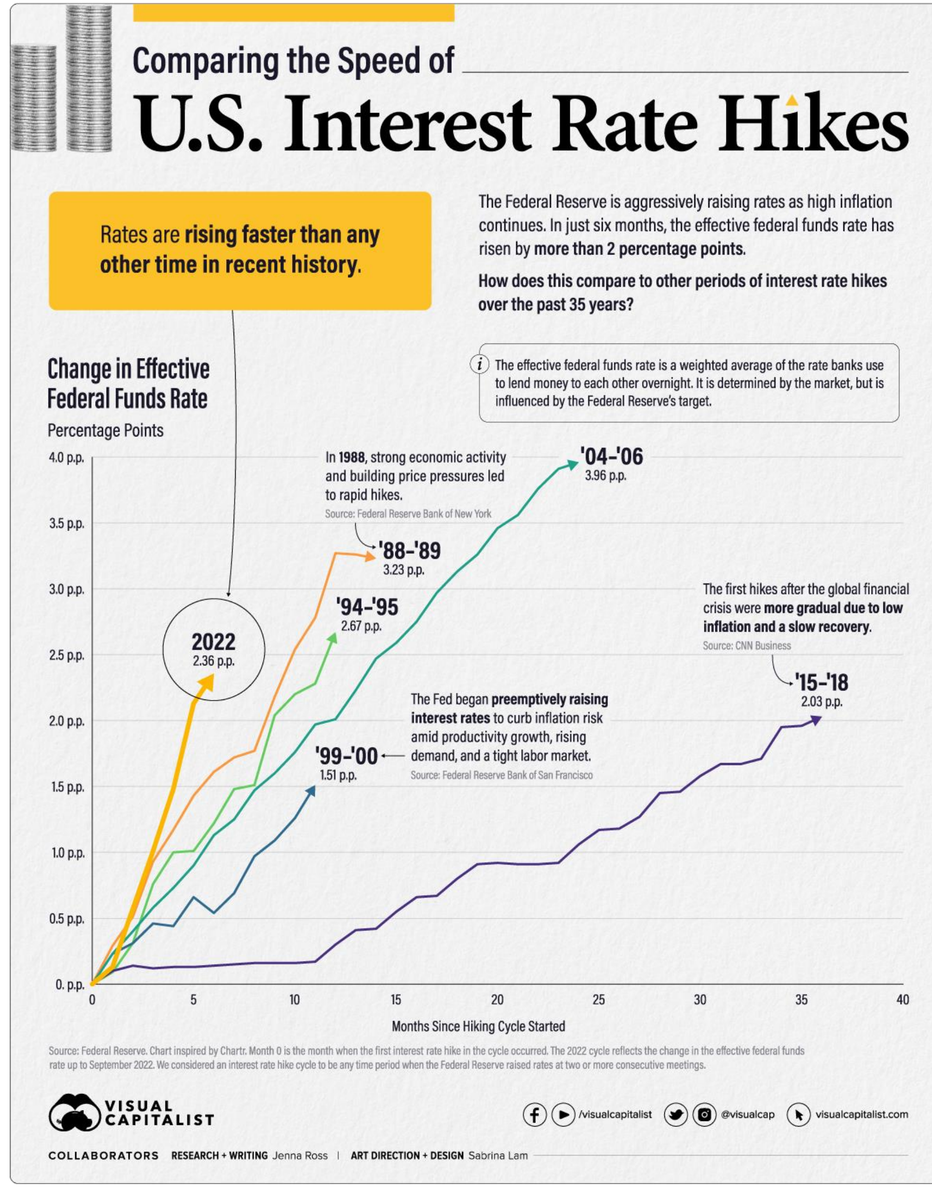
Source: [Furman and Summers 2020]

But Central Banks started fighting inflation with aggressive interest rate hikes, and debt can quickly get unsustainable.

But then why study macroeconomics if we do not know how to prevent a crisis?

It helps us understand how to smooth the effect of a crisis. Macro is an art more than a science.

Your job: develop the general macroeconomic model



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- Macroeconomics studies the relationship between the big economic aggregates (consumption, investment, savings, etc…)
- Its objective is to better understand economic performance, increases in living standards and how to avoid costly economic fluctuations
- Two main school of economic thought integrated for most macroeconomists in the neo-classical or neo-Keynesian synthesis that we will present during the semester.
- Monetary and fiscal policies have an important role to play during economic crisis
- But they are not necessarily always effective, and can be counter-productive
- Macroeconomics will help us understand the tradeoff an economy faces during a crisis and how to get out of it most rapidly and efficiently